

Commissions and Specific Services for Which Fees May Be Charged

Salespersons and associate brokers can only accept commission or real estate-related compensation from their employing broker. Brokers can pay commissions to brokers licensed in other states, as long as that nonresident broker doesn't "conduct in this state a negotiation for which a commission is paid."

If a salesperson earned a commission while licensed and associated with a broker, the broker can still pay that commission to the salesperson regardless of whether the salesperson is still licensed at the time of payment, or is employed by another broker.

For example, Lester is a salesperson with ABC Real Estate, employed by real estate broker Tom. Lester acted as a seller's agent for a transaction and secured a buyer for the property. Prior to closing, Lester transfers his license to a new broker, Dan with LMN Realty. Tom can pay the commission earned from this transaction directly to Lester (even though Tom isn't Lester's employing broker anymore) without violating any Michigan real estate laws.

Another example, Will is a salesperson employed by broker Gina at Aspire Realty. Will was working as a buyer's agent in a transaction. Shortly after his buyer entered into a purchase agreement with seller, Will left the real estate profession and no longer holds an active real estate license. Gina can pay the commission earned from this transaction to Will (even though Will is unlicensed) without violating any Michigan real estate laws.

Fees, commissions, or other valuable considerations can't be paid to unlicensed individuals (except as noted above in the case of a formerly licensed individual). This means that a broker can't pay a referral fee to an unlicensed buyer who gave the broker a lead on a potential seller.

The following actions aren't perceived as real estate-related commissions or participation and can legally be made:

- The owner or owner's agent can offer existing tenants of a property compensation for referring a prospective tenant. The compensation can't exceed the value of a month's rent.
- Existing tenants of an owner's rental property can receive a referral fee not to exceed a month's rent.

Licensees receiving commission from a transaction can't also receive a referral fee or other compensation related to a principal securing a loan for the transaction, unless both buyer and seller provide prior written consent and the payment doesn't violate the Real Estate Settlement Procedures Act (RESPA) or other laws.

Licensees receiving commission from a transaction can't also receive a referral fee or other compensation related to title abstracts, title insurance, home warranty, or any other service needed in the course of transaction settlement without first obtaining written consent from their own client and as long as the payment doesn't violate the Real Estate Settlement Procedures Act (RESPA) or other laws.

Fees may be charged for specific real estate-related activities (in other words, if the activity requires a license, a fee can be charged for that service). As a reminder these activities include:

- Selling, buying, providing market analyses, listing, or negotiating the purchase, sale, exchange, or mortgage of real estate
- Negotiating the construction buildings or improvements on real estate
- Leasing or renting real estate or improvements on real estate
- Engaging in property management